



[Weekly Market Commentary](#)

Dear clients,

Bitcoin breached its all-time (intraday) high of US\$69,338 this week before a pullback and subsequent retracement. The short covering move that contributed to the initial upside now appears to be exhausted, but US spot bitcoin ETFs continue to be a meaningful anchor for bitcoin demand – reflected in average daily net inflows of \$400M during the last two weeks. That said, we think bitcoin (and crypto more broadly) may face some notable macro and technical challenges in the weeks ahead, before it can enter true price discovery territory.

Meanwhile, the cumulative net growth in BTC held by ETFs has outpaced the BTC generated by miners by nearly threefold. But we think that that comparison between newly mined bitcoin and ETF inflows fails to capture the whole story with respect to longer-term cyclical supply trends. The reality is that growth in liquid circulating supply (which we define as bitcoin moved within the past 3 months) has substantially outpaced that of cumulative ETF inflows, which we discuss in our full report this week.

Finally, we just published our report “Crypto's AI Mirage” covering key trends we observe in the artificial intelligence space and how that could impact a number of sub-sectors in the crypto-AI intersection. While we think AI will continue to be a major productivity trend that could sustain demand for related assets, the fundamental value proposition of many tokens remains unclear. A full discussion is covered in our report available [here](#).

Read full report

Best,
The Coinbase Institutional Team

Weekly Market Call

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